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Operations management are critical to achieving business success, through their ability to implement effective strategies that respond to/influence business performance. operations strategies that effectively respond to influence upon operations management are critical to increasing profit maximisation which is obtained through achieving a sustainable competitive advantage and reducing costs. Key operations strategies that were implemented by operations management are clearly evident within the Toy company, Lego.

It was in 2000 when Lego was nearing its all time record a loss of 217 million dollars, due to high costs from manufacturing and supply Chain management. The company was growing rapidly and at the time ops mngmt had no strategies that were effective in response. It was in 2004 when Jorgen Knudstorp was hired, that he streamlined the business, and had ops mngmt implemented

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key strategies that lead to the business being revitalised with little growth. Lego has since adopted the motto "only the best is good enough", which has seen Lego to new record revenue of 5.4 billion dollars where they were previously recording a loss.

Globalisation has evolved the key operations strategies of supply chain management and outsourcing within Lego's operations management. Globalisation refers to removal of trade barriers and integration of global economies. Facilitated by an increase in technology, communications, trade & financial flows. Globalisation has poses opportunities & threats. In response to Globalisation, ops management has integrated the key strategies of supply chain management and outsourcing, resulting in both negative and positive effects on business performance.

Effectiveness of the strategy can be based on:
- Reduced costs
- Reduced lead time.

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In response to globalisation, the operations management strategy of supply chain mngmt has had a significant effect on business success. A Supply Chain management involves integrating and managing the flow of supplies throughout the input, transformation process and output Globalisation has supported operations managements ability to source, reduce costs, reduce lead times and ~~reduce~~ increase profit. It's through the operations strategy of supply chain management that enabled Lego to adopt a rationalisation strategy, reducing lead time and reducing the scale of the supply chain to reduce costs. Operations management at Lego have done this through reducing the distribution centres from 6 to 2 and reducing logistics provide from 26 to 4. By doing this operations management at Lego has become significantly more efficient, there is now an easier flow of communication and a more manageable supply chain. It's through this reduction that has cut transport costs by 10% and led to the

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reduction of costs for operations management by 35% over 4 years. This strategy, implemented through operations management was critical to Lego's success. This has seen 710 million dollars of profit come in to the company between 2003 - 2011 where prior to that period Lego was recording a loss. Thus the strategy of supply chain management was critical to the business success, and significantly effective in response to Globalisation.

The strategic method of outsourcing implemented by operations management at Lego in response to Globalisation had a significant impact upon the business success. The strategy of outsourcing refers to the term of contracting an external source to perform a activity. Globalisation presented significant opportunities and threats for operations management at Lego. It was in 2000 when Lego contracted their production to Flextronics. The aim of outsourcing was to reduce costs and employees. The operating model at Flextronics was significantly different to Lego's. The key performance

objective of quality and speed was being compromised. As Lego's inventory ~~a~~ away. fell dramatically and the lifetime of the moulds was shortened due to the low maintenance levels. ~~Lego~~ Flextronics optimised economies of scale in their production and the "total quality management" system that was thwarting a Lego was not being transfered in their production process. Due to this method of outsourcing Lego had no control over the production and was losing its key competitive advantage. Lego's lead time increased significantly to 12 weeks while Lego's revenue dropped by 30%. Thus the operation strategy implemented by operations management had a significant worsening impact upon Lego.

However the strategy of outsourcing based in response to globalisation also had a positive impact upon Lego's operations management. Lego was able to increase their

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outsourcing to Eastern Europe which was pivotal to enforcing a greater distribution of the product, where Lego now sells in 130 different countries. Globalisation also supported operations management ability to outsource their non core business elements that didn't obtain a sustainable competitive advantage, This strategy through operations management had significant positive effects upon Lego's success which has seen revenue triple since implementing this method. Hence, operations management was critical to improving business success.

Quality expectations has enforced the strategic use of technology within operations management. Quality expectations refers to the cost, quality, dependability and other standards that a consumer places upon a certain good or service. Quality management enforces a higher standard of quality and production

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methods within the business. In response to the influence of quality expectations Lego has implemented the strategy of technology which has been critical to business success.

Quality expectations has ensured the greater use of both leading edge and established technology within operations management. Operations management integrated the greater use of technology systems within Lego in response to influence of quality expectations. Quality has always been at the core of Lego operations management. Lego integrates leading edge technology that includes CAD, CAM, Robotics and injection moulding machines. Specifically within injection moulding machines Lego ensures the highest standard of quality which helps achieve the key performance objective quality and dependability. The injection

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modern machine produces 3000 bricks a minute with a variety of 7000 different pieces. It has 0.0003 mm depots in every 18 million bricks It through its best operations management ensures the highest standard of quality within it production It through the use of this tech by ops manager that has seen production go up by 83% in 4 years. Seeing the net profit margin rise by 4% annually. Thus it was an overall success.

In summarising, it should the strategic decisions and methods that have been implemented by operations management that have been significantly effective in improving business success and business performance.